

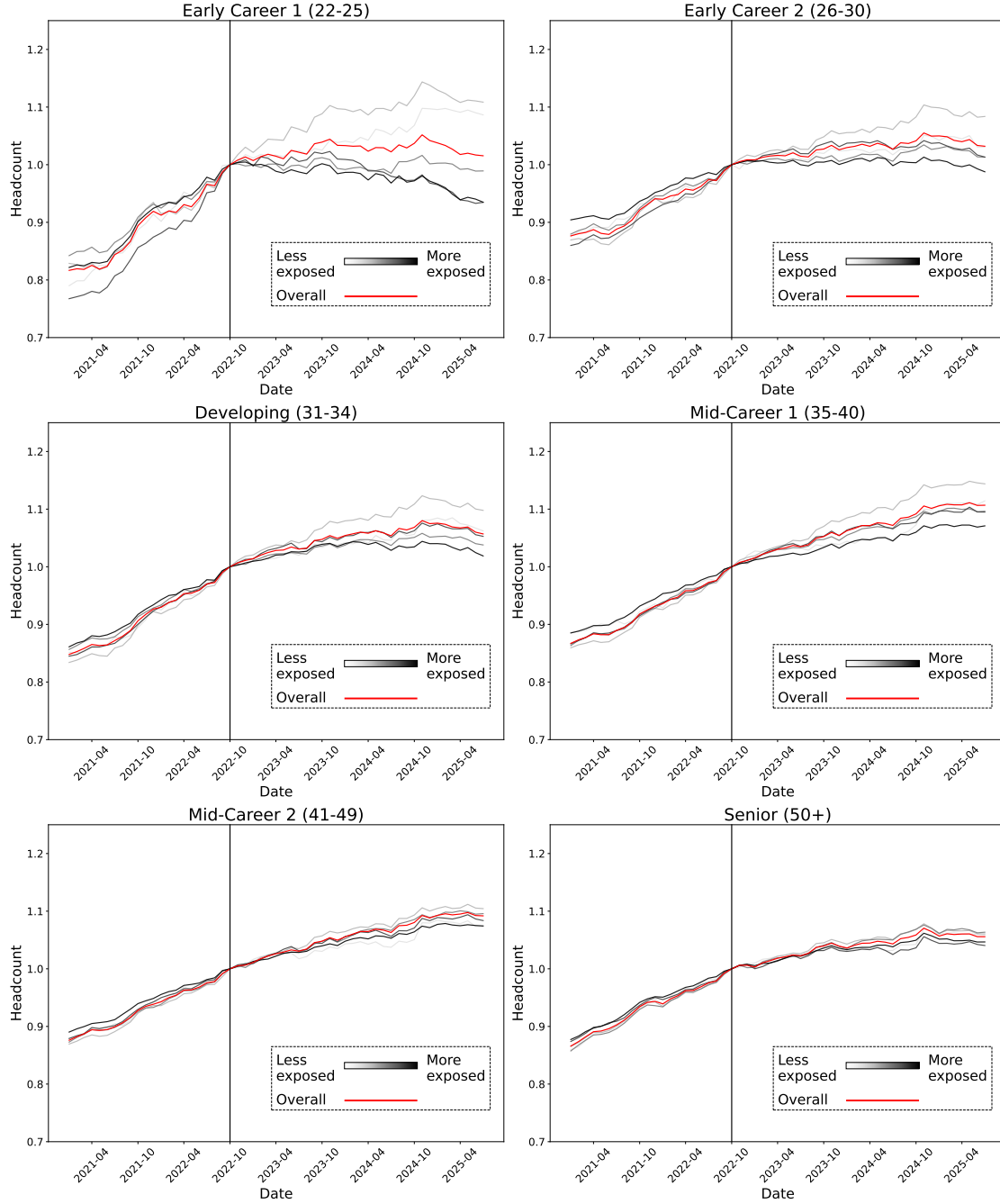


Figure 7: *Automation*. Employment changes by age and automation level using Claude usage data from [Handa et al. \(2025\)](#). Automation levels are defined based on the share of queries related to an occupation that are classified by Claude as automative in nature. Darker lines are more automative. The red line shows the overall trend pooling across automation levels. Occupations whose associated tasks all have fewer than the minimum number of queries to appear in the usage data are treated as a separate category, coded as 0. Note that greater than 20% of occupations above the minimum query threshold have an estimated automation share of 0. All occupations in the first and second quintile are consequently grouped together in level 1. The remaining quintiles are coded as 2, 3 and 4.

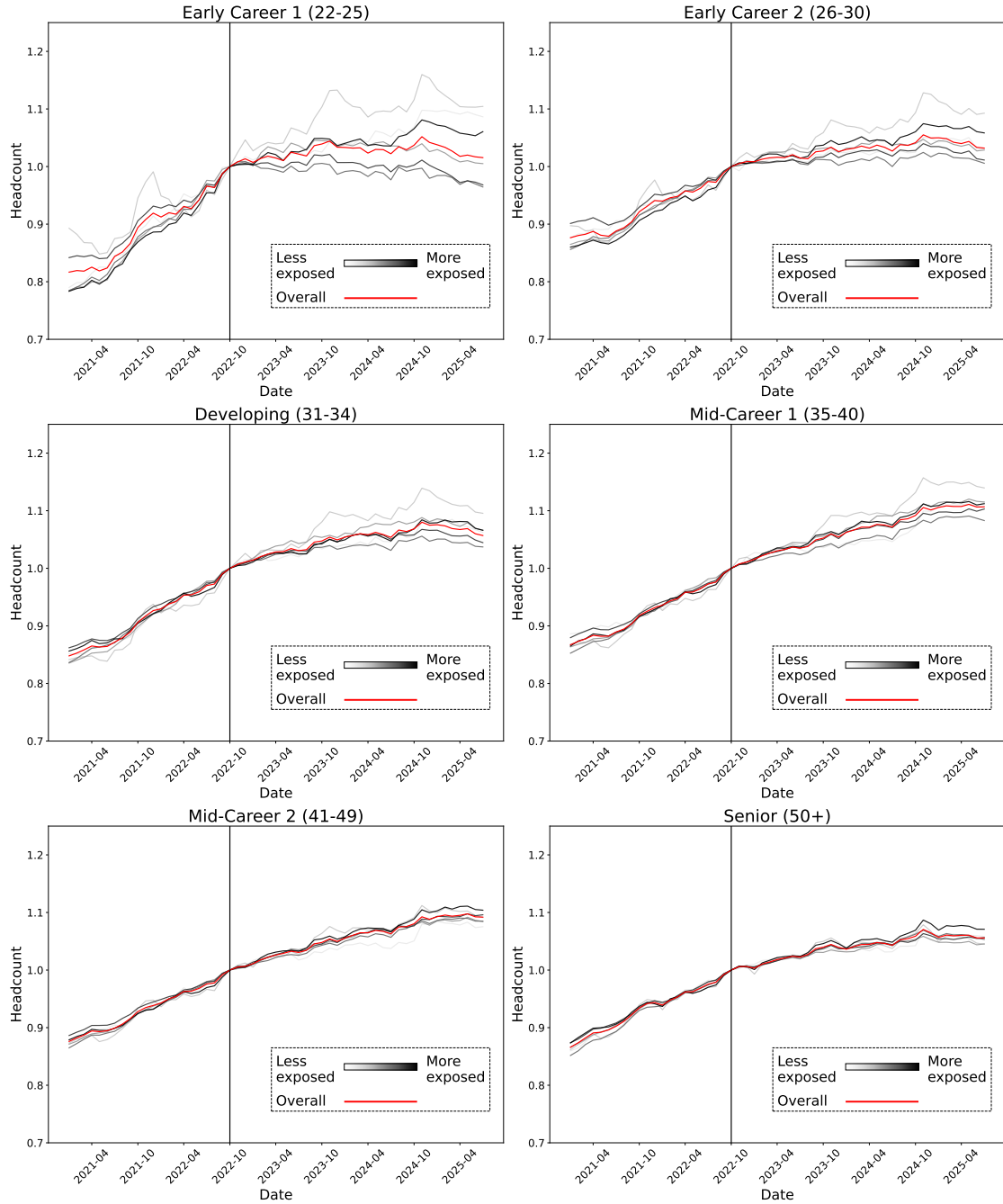


Figure 8: *Augmentation*. Employment changes by age and augmentation quintile using Claude usage data from [Handa et al. \(2025\)](#). Augmentation quintiles are defined based on the share of queries related to an occupation that are classified by Claude as augmentative. Darker lines are more augmentative quintiles. The red line shows the overall trend pooling across quintiles. Occupations whose associated tasks all have fewer than the minimum number of queries to appear in the usage data are treated as a separate category, coded as 0.

f indexes firms, q indexes Eloundou et al. (2024) exposure quintiles, and t indexes months, with $t = -1$ corresponding to October 2022. The outcome variable $y_{f,q,t}$ is employment in f, q, t . Equation 4.1 is a Poisson event study regression controlling for firm-quintile effects, $\alpha_{f,q}$, and firm-time effects, $\beta_{f,t}$. The firm-time effects absorb aggregate firm shocks that impact each exposure quintile equally. The firm-quintile effects adjust for baseline differences in hiring across quintiles within the firm. The coefficients of interest, $\gamma_{q,t}$, measure differential changes in employment growth across quintiles after accounting for firm-time effects and firm-quintile effects.¹⁷

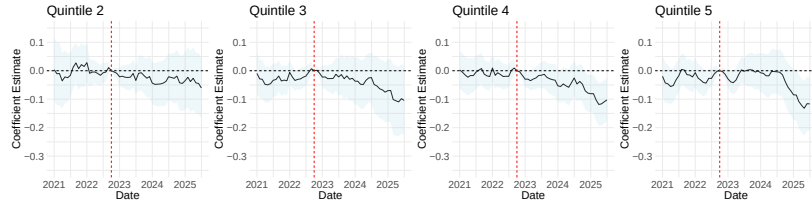
We run this regression separately for each age group. For each regression, we restrict to firms that hire at least 10 workers within the age group in every period of the sample. Further, $\sum_t y_{f,q,t}$ must equal at least 100 for each q , meaning that the firm must at least employ on average about 2 workers from each exposure quintile across months in the sample.¹⁸ Standard errors are clustered by firm.

Results are in Figure 9, which plots the $\gamma_{q,t}$ coefficients for each age group. For workers aged 22-25, estimates for higher quintiles are large and statistically significant, with a 12 log point decline in relative employment comparable in magnitude to the estimates in the raw data in Figure 3. Estimates for other age groups are generally much smaller in magnitude and not statistically significant. These findings imply that the employment trends we observe are not driven by differential shocks to firms that employ a disproportionate share of AI-exposed young workers.

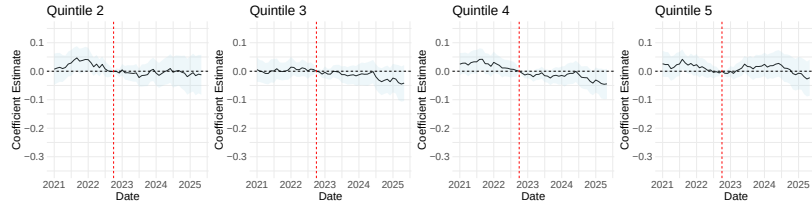
One alternative confounder that would not be controlled for with firm-time effects is that even conditional on the firm workers with high AI exposure were excessively hired after the COVID-19 pandemic, leading to a subsequent contraction in their hiring. To assess such alternatives we consider various other robustness checks in Section 4.6, such as removing computer occupations and conditioning on whether the occupation is amenable to work from home.

¹⁷Because of zero counts in the outcome variable, we estimate a Poisson regression instead of an OLS regression in logs following guidance from Chen and Roth (2024).

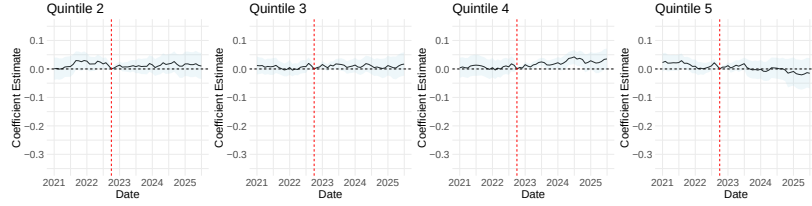
¹⁸Results are not sensitive to these restrictions, though there must be at least one non-zero value in each firm-month and each firm-quintile for observations to not get dropped in the Poisson regression.



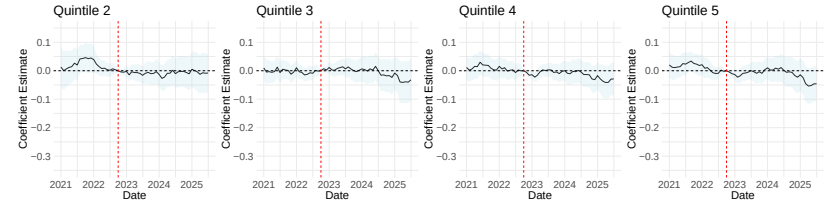
(a) Age 22-25



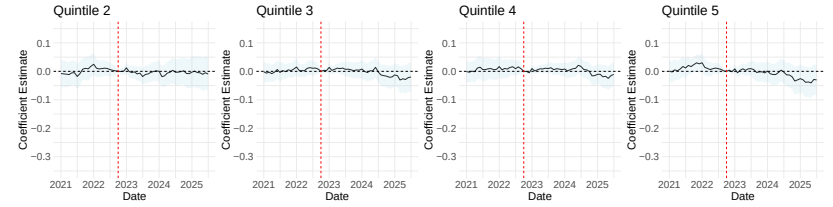
(c) Age 31-34



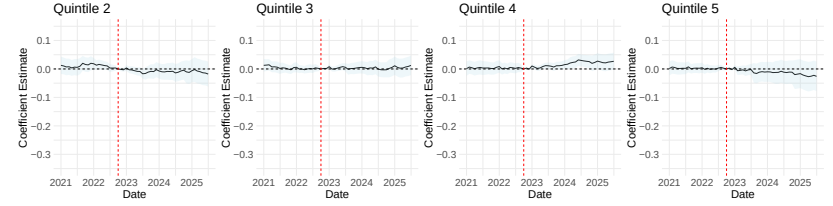
(e) Age 41-49



(b) Age 26-30



(d) Age 35-40



(f) Age 50+

Figure 9: Poisson regression event study estimates for employment changes by age and AI exposure. Estimates are all relative to occupational exposure quintile 1. Exposure quintiles use [Eloundou et al. \(2024\)](#) GPT-4 β measures. Estimates control for firm-time and firm-quintile fixed effects following Equation 4.1. Shaded regions are 95% confidence intervals. Standard errors are clustered by firm.